Project Initiation Document

Project Virtualization

V0.4

Version Management			
Version	**Date**	**Changes**	**Author(s)**
V0.1	11-09-2014	PID created	Thomas
V0.2	15-09-2014	Added current situation/ Changed to English	Kevin
V0.3	22-09-2014	Added financial accountability	Guido/Kevin
V0.4	22-09-2014	Added MosCoW / Updated version / updated content table	Thomas

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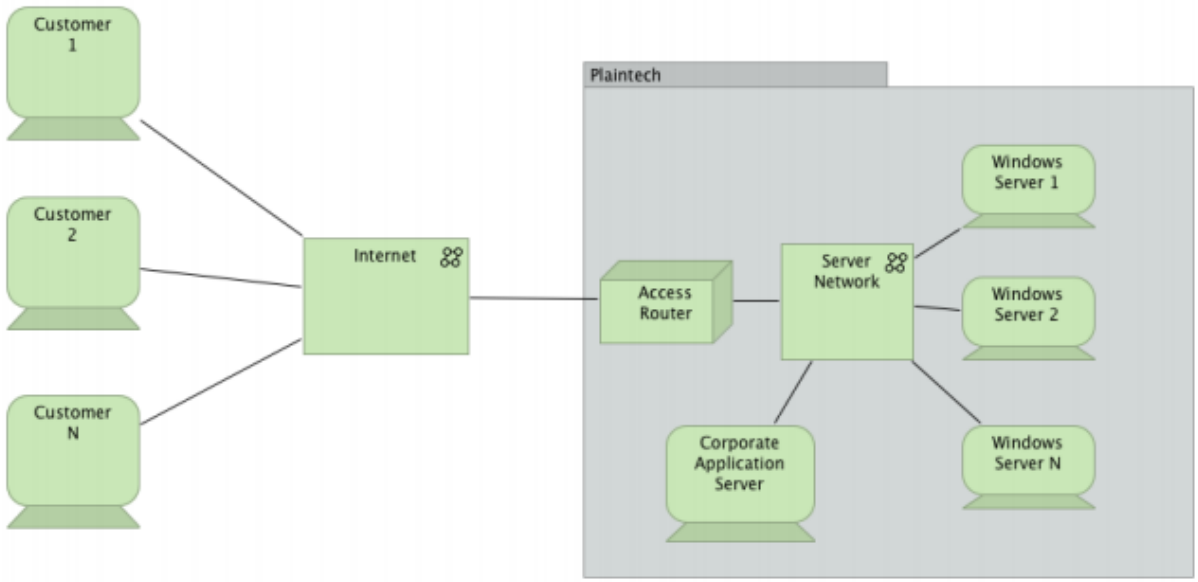
Current situation



The current situation of Plaintech makes use of a network containing the following components:

- Access router
- Windows server 1
- Windows server 2
- Windows server N
- Corporate application server

Financial accountability

To give insight in the financial benefits of this project we made a financial plan that illustrates the ROI, break-even point, costs and revenues. We first start with the costs and revenues, these will form the ROI and break-even point. For these calculations we made a few assumptions:

- The income of Plaintech is subscription based, the revenues will flow in at the first of each month.
- When a new clients signs up, they pay the full price for the month they sign up. Even if it only has a few days left before the end.
- The revenue develops linear.

Costs

Gross salary per Itopia employee based on 40 hours workweek		
Salary	€	3.500,00
Salary costs	€	4.725,00
Salary per hour	€	87,50
Salary costs per hour	€	118,13

For the salary we took the average salary for the industry. The personnel costs will be 35% higher for the employer.

Estimated time resources consumption translated into costs

Product	Description	Percentage	Hours	Tarif per hour	Total
Project Initiate Document	Documentation of this file	5%	90 uur	€ 118,13	€ 10.631,25
Advice report					
Functional design	Usecases of project	1%	18 uur	€ 118,13	€ 2.126,25
Technical design	Technical specifications project	1%	18 uur	€ 118,13	€ 2.126,25
Product development					
OS	Installation of Linux	2%	36 uur	€ 118,13	€ 4.252,50
Hypervisor	Installation and configuration of the Hypervisor	8%	144 uur	€ 118,13	€ 17.010,00
Virtualisation	Installation and configuration of the virtual software	25%	450 uur	€ 118,13	€ 53.156,25
Security	Installation and configuration and further security measure	30%	540 uur	€ 118,13	€ 63.787,50
Testing	Finding bugs and optimizing the product	25%	450 uur	€ 118,13	€ 53.156,25
Training	Training Plaintech employees	1%	18 uur	€ 118,13	€ 2.126,25
Manuals	Documentation for the Plaintech employees	2%	36 uur	€ 118,13	€ 4.252,50
TOTAL		**100%**	**1800 uur**	**€ 118,13**	**€ 212.625,00**

We estimated that we need 1800 hours to complete the task at hand. The total hours where distributed after a discussion over the various components of the project.

Estimated hard- and software costs				
Product	Description	Estimated costs		
Hardware				
Server	Dell PowerEdge R620	€ 22.230,00	1	€ 22.230,00
Software				
Operating system	Linux Debian			
Hypervisor	Linux KVM			
Virtualization management	Linux libvirt			
Database server	MySQL database server			
Java Servlet	Apache Tomcat			
	Apache Velocity			

The hard- and software used in the project bring costs with them as well. These combined with the labour costs will form the total costs of the project.

Total costs of investment	€	234.855,00
Yearly redemption (3 years)	€	78.285,00

Break even

To calculate the break-even with a monthly subscription based service we need to divide the total costs by the price of the product per month. We concluded that €20,- per month is a competitive price for the product Plaintech offers their clients. The break-even is based on that price.

€234.855,- / €20,- = Break even at 11.743 individual monthly payments.

To calculate when that moment has actually come, we made a table with revenues in a linear progressing line. The starting amount of sales is based on the belief that if Plaintech already satisfies a lot of clients with product sales figure of 50.000, they can easily start off with 5% cross selling with their current clients.

	January	February	March	April	May	June
Year 1	Total sales ->	625	1250	2083	3125	4375
Virtualisation sales volume	208	417	625	833	1042	1250
Virtualisation revenue	€ 4.166,67	€ 8.333,33	€ 12.500,00	€ 16.666,67	€ 20.833,33	€ 25.000,00

July	August	September	Oktober	November	December	TOTAL
				Break even month		
5833	7500	9375	11458	13750	16250	
1458	1667	1875	2083	2292	2500	2500
€ 29.166,67	€ 33.333,33	€ 37.500,00	€ 41.666,67	€ 45.833,33	€ 50.000,00	€ 325.000,00

As can be seen in the tables above the break even month is in November in the first year. This leaves room for an even more competitive pricing strategy if preferred by Plaintech staff.

ROI

The ROI calculated in our plan is based on the annual profit divided by the annual redemption costs.

	Annual costs	Annual income	Annual profit	ROI
year 1	€ 78.285	€ 325.000	€ 246.715	315,1498
year 2	€ 78.285	€ 1.022.500	€ 944.215	1206,125
year 3	€ 78.285	€ 1.915.167	€ 1.836.882	2346,403

As can be seen above is that the ROI has a steep incline and is positive from the first year.

MosCoW

We've used the MosCoW technique to chart the wishes and demands of Plaintech for our project. Using this technique we will have a better insight and a clearer view of the requirements we will have to implement in our final product. Another benefit of using the MosCoW technique is prioritizing the requirements so we will not forget to implement certain important aspects of our product.

Must have:

- The server must have Linux Debian as operating system
- The customer must have the ability to connect and control their virtual platform through a control panel webpage.
- The customer must have the ability to choose the amount of RAM of their virtual platform
- The customer must have the ability to choose the amount of Disk space of their virtual platform.
- The customer must have the ability to choose from atleast three different operating systems to be pre-installed on their virtual platform, of which 2 of the options have to be different linux distributions and the other option has to be a windows server version.
- The customer must have the ability to choose between three different service levels.
- The customer must be able to use an installation guide or other documentation
- The server must have a database with customer and order information
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Should have:

- Customers should have multiple options to pay when ordering their virtual platform.
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Could have:

- The customer could have the ability to modify the hardware specifications (amount of RAM, Disk Space) of their virtual platform and pay directly for these extra's
- Customers could have the ability to choose the amount of CPU cores for their virtual platform.
- Customers could have the ability to change the amount of CPU cores for their virtual platform and pay directly for these extra's.

Won't have / Would have:

- The server won't have windows as operating system.

- The virtual platforms won’t have more than three operating systems to choose from.